

integration of crowdfunding with cryptoassets doubly disruptive, and puts cryptoasset offerings in another league entirely separate from Kickstarter. Joel Monegro, cofounder of Placeholder Ventures and former blockchain lead at Union Square Ventures (USV), was the first to encapsulate this idea cleanly in a blog titled, “Fat Protocols.”

Monegro’s thesis is as follows: The Web is supported by protocols like the transmission control protocol/Internet protocol (TCP/IP), the hypertext transfer protocol (HTTP), and simple mail transfer protocol (SMTP), all of which have become standards for routing information around the Internet. However, these protocols are commoditized, in that while they form the backbone of our Internet, they are poorly monetized. Instead, what is monetized is the applications on top of the protocols. These applications have turned into mega-corporations, such as Facebook and Amazon, which rely on the base protocols of the Web and yet capture the vast majority of the value. The construction of the Web as we currently know it is shown in [Figure 16.1](#) from USV with “Value Captured” on the y-axis.